

Agenda Item 2–A

Explanation of Significant Changes to Requirements and Application Material

This paper explains the significant changes and the rationale for the changes that have been made by the Audit Evidence Task Force (the Task Force) since the June 2022 meeting, as reflected in the marked draft in **Agenda Item 2–B**. This paper refers to significant changes that are discussed in more detail in the relevant sections of **Agenda Item 2** (Issues Paper) and also explains the significant changes and the rationale for the changes to the conforming and consequential amendments as reflected in **Agenda Item 2–D**. Minor editorial changes are not explained in this paper.

Reference	Significant Changes and the Rationale for Those Changes
Introduction	
Paragraph 2	<i>Application Material</i> Paragraph A8: A Board member noted that the wording of this paragraph was unclear regarding the auditor's actions when the risk assessment is revised, i.e., whether more persuasive audit evidence is needed by performing different audit procedures or by increasing the extent of the same audit procedures. The Task Force revised the paragraph to explain that a revision to the risk assessment may indicate that more persuasive audit evidence is needed to conclude whether sufficient appropriate audit evidence has been obtained.
Paragraph 3	- Based on Board comments and to provide greater clarity, the Task Force: - Revised the wording of the second sentence to focus only on “specific matters” as the additional reference to “specific aspects of the audit” was found to be confusing. - Deleted the third sentence as the reference to “overarching requirements” was considered redundant with paragraph 1.
Paragraph 4	The Task Force clarified the wording and changed the reference in the footnote to paragraph 7 of ISA 200¹ in response to Board comments.

¹ ISA 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing*

Reference	Significant Changes and the Rationale for Those Changes
Effective Date	
Paragraph 5	See Agenda Item 2, Section D , for a discussion of the proposed implementation period.
Objectives	
Paragraph 6	See Agenda Item 2, Section B.1 , for an explanation of the deletion of “and report” in paragraph 6(a).
Definitions	
Paragraph 7(a)	<i>Definition</i> • Section B.1 of Agenda Item 2 explains the rationale for including the term “and report” in the definition of audit evidence (paragraph 7(b) of Agenda Item 2–B) and excluding the term from paragraph 6(a). The Task Force is of the view that the same rationale applies to why the term “and report” was deleted from the definitions of the appropriateness of audit evidence and the sufficiency of audit evidence: - o Paragraph 28(b) of ISA 700 (Revised)² requires the auditor’s report to include a section, with the heading “Basis for Opinion,” that, among other matters, states whether the auditor believes that the audit evidence the auditor has obtained is sufficient and appropriate to provide audit evidence to provide a basis for the <u>auditor’s opinion</u>. - o The terms “sufficiency” (of audit evidence) and “appropriateness” (of audit evidence) are therefore used in the context of sufficient appropriate audit evidence to support the auditor’s opinion (not opinion “and report”). <i>Application Material</i> • Paragraph A13: A Board member pointed out that the reference to “same audit evidence” in the last sentence is not appropriate as it is unlikely that audit evidence would be exactly the same as other audit evidence obtained. Accordingly, the Task Force revised the sentence to refer to audit evidence obtained by performing

² ISA 700 (Revised), *Forming an Opinion and Reporting on Financial Statements*

Reference	Significant Changes and the Rationale for Those Changes
	the “same type of audit procedures.” The Task Force also revised the wording of the paragraph for clarity and consistency with the changes to the objectives and definitions.
Paragraph 7(b)	In the June 2022 IAASB meeting, the Board asked the Task Force to consider whether the term “draw conclusions” should be changed to “draw reasonable conclusions.” The Task Force noted that the definition of audit evidence in extant ISA 500³ only refers to conclusions (“information used by the auditor in arriving at the conclusions on which the auditor’s opinion is based”). The Task Force also noted that the reference to “reasonable conclusions” in paragraph 17 of ISA 200 is in the context of reasonable assurance and obtaining sufficient appropriate audit evidence. Therefore, the Task Force was of the view that paragraph 7(b) should refer only to “conclusions.” This view is consistent with the Task Force rationale for references to “and report” as explained in paragraph 21 of Agenda Item 2.
Paragraph 7(d)	<i>Definition</i> - See the explanation for paragraph 7(a) above regarding the deletion of “and report.” - The Board asked the Task Force to consider whether there was a disconnect between the definition of sufficiency (of audit evidence) and the application material supporting the definition, which refers to both quantity and quality. The Task Force was of the view that no change is necessary to paragraph A14 of Agenda Item 2–B as the concepts of sufficiency and appropriateness are interrelated as noted in paragraph A6 of Agenda Item 2–B (i.e., sufficiency is the <u>measure</u> of the quantity of audit evidence but is <u>affected by</u> the quality of such audit evidence). <i>Application Material</i> - Paragraph A14: The Task Force added a sentence in response to a suggestion from a Board member to explain that, regarding the sufficiency of audit evidence, “more” audit evidence can be obtained in different ways.

³ ISA 500, *Audit Evidence*

Reference	Significant Changes and the Rationale for Those Changes
Requirements	
Designing and Performing Audit Procedures to Obtain Sufficient Appropriate Audit Evidence	
Paragraph 8	<i>Application Material</i> • Paragraph A16: The Task Force deleted the first sentence as Board members found the wording confusing and circular (“actions being performed by the auditor when performing the audit procedures”). • Paragraph A23: The Board raised various comments on this paragraph during the June 2022 IAASB meeting and in offline comments. These comments included a suggestion to highlight the need for auditors to assess the appropriateness of algorithms or other inputs when using automated tools and techniques, and to consider combining the second and third bullets as both referred to the involvement of more experienced members of the engagement team. The Task Force agreed and revised the paragraph accordingly. • Selecting items for testing: In response to offline comments from the Board, the Task Force made the following revisions: - o Paragraph A27: Changed the lead-in wording to eliminate redundancy with paragraph A28 and moved the reference to automated tools and techniques from the hanging paragraph into the lead-in. - o Paragraph A29: - Changed the lead-in wording to the bullets to present them as circumstances in which the auditor may consider it appropriate to apply an audit procedure to an entire population. - In the first bullet, reverted to wording in extant ISA 500 (i.e., small number of large value items) as the Board indicated that the reference to “homogeneous” was unclear and may not translate well. - Moved wording from the lead-in to a new bullet indicating that the ability to use an automated tool or technique may be a circumstance in which applying an audit procedure to an entire population may be appropriate.

Reference	Significant Changes and the Rationale for Those Changes
	- o Paragraph A30: In response to a Board offline comment, the Task Force reinstated a bullet from extant ISA 500 indicating that specific items selected may include items to obtain information about matters such as the nature of the entity or the nature of transactions. - o Paragraph A32: The Task Force added this paragraph in response to a Board member suggestion to provide additional guidance on the use of automated tools and techniques, including data analysis, to select specific items for testing. The Task Force was of the view that the paragraphs from ISA 315 (Revised 2019) ⁴ referenced in the footnotes provide useful guidance in this regard.
Information Intended to Be Used as Audit Evidence	
Paragraph 9	<i>Application Material</i> • Paragraph A34: The Task Force revised this paragraph to highlight that information can become audit evidence only after audit procedures are applied to it, including evaluating its relevance and reliability. This revision is consistent with changes made to other paragraphs (e.g., paragraphs A37, A42 and A49) to explain that the evaluation of the relevance and reliability may be done concurrently with the audit procedures applied to the information. • Paragraph A39: The Task Force revised the wording to be more specific about the requirement in paragraph 37 of ISA 315 (Revised 2019). • Paragraph A42: In response to Board comments, the Task Force changed the structure of the lead-in to better link to the examples, which are intended to illustrate how the form, availability, accessibility and understandability of the information intended to be used as audit evidence may affect the design and performance of the audit procedures in which the information will be used. The Task Force also moved the first example to the bottom to address Board comments that this example, while a good illustration of the use of automated tools and techniques, may convey an impression that this is more common in practice than it is currently. • Paragraph A45: Offline comments from the Board noted that the wording of the paragraph (particularly the reference to “in some circumstances”) was not appropriate because an inability to obtain sufficient appropriate audit evidence is always a scope limitation. The Task Force agreed and revised the paragraph by moving the

⁴ ISA 315 (Revised 2019), *Identifying and Assessing the Risks of Material Misstatement*

Reference	Significant Changes and the Rationale for Those Changes
	example to become the second sentence and making a definitive statement that the auditor's inability to obtain sufficient appropriate audit evidence is a scope limitation. - Paragraph A46: In response to the Board's offline comments, the Task Force moved the first bullet to the end and clarified the wording of the (now) first bullet to add the auditor action, consistent with the other bullets. - Paragraph A47: As described in paragraphs 61–62 of the June 2022 Audit Evidence Issues Paper, the Task Force initially proposed to delete the definition of “accounting records” in paragraph 5(a) of extant ISA 500 and instead describe accounting records as an example of internal sources of information in the application material. However, as that term is used in the requirements of ISA 315 (Revised 2019), it was necessary to propose a consequential amendment to ISA 315 (Revised 2019) to add a definition of “accounting records.” Assuming that respondents to the Exposure Draft support the proposed consequential amendment, “accounting records” would be a defined term in the IAASB Glossary of Terms and therefore the example is not needed. Therefore, the Task Force deleted the example box in the first bullet of paragraph A47 of Agenda Item 2–B. - Paragraph A58: In response to the Board's offline comments, the Task Force: - Added a reference to the intended purpose of the audit procedure in which the information will be used. - Added a bullet in the first example to indicate that the auditor also would need to obtain or update the understanding of the entity and its environment, including the markets for the related products. - Paragraph A59: Board members commented that the reference to “information” from inquiries was confusing. The Task Force agreed and changed those references to “responses.”
Paragraph 10	<i>Requirement</i> - The Task Force revised the paragraph to address Board concerns about circularity with paragraph 9 and to link more directly with the auditor's consideration of the attributes of relevance and reliability that are applicable in the circumstances as required by paragraph 9(b). <i>Application Material</i> - Paragraphs A62 and A63: The Task Force reversed the order of these paragraphs to emphasize that the source of the information may affect the auditor's consideration of whether the attributes of accuracy and completeness are applicable in the circumstances and that, for example, those attributes ordinarily will be applicable for

Reference	Significant Changes and the Rationale for Those Changes
	information generated internally from the entity's information system. The Task Force also revised paragraph A63 to better explain how the intended purpose of the audit procedure relates to whether accuracy and completeness are applicable in the circumstances. In that regard, the Task Force moved wording to the example box to clarify that these are examples in which the auditor may determine that the attributes of accuracy and completeness are applicable in the circumstances.
Paragraph 11	<i>Application Material</i> Paragraph A76: Board members commented that the reference in the last bullet of paragraph A73 to whether the information prepared by the management's expert has been "appropriately reflected in the financial statements" does not seem to fit as part of understanding the work of the expert (paragraph 11(b) of Agenda Item 2). The Task Force agreed and was of the view that the point is more appropriate as part of the application material to paragraph 11(c) of Agenda Item 2, which addresses how the information prepared by the management expert is used by management in the preparation of the financial statements. Therefore, the Task Force moved the point in the last bullet of paragraph A73 to become part of the first sentence of paragraph A76. The Task Force also revised the last part of the paragraph to emphasize the importance of understanding the nature of any modifications made by management to the information, which may assist the auditor in evaluating the relevance and reliability of the information prepared by the expert.
Paragraph 12	<i>Requirement</i> - The Task Force revised paragraph 12(b) to address a suggestion from a Board member to clarify the references to "the matter," i.e., to clarify that this is referring to the doubts about the relevance or reliability of the information. The Task Force agreed that further clarity was needed and revised the wording accordingly. <i>Application Material</i> - Paragraph A78: The Task Force revised this paragraph in response to a Board member offline comment that the reference to "a certain point of time" is inconsistent with the bullet in paragraph A48a that refers to the "period of time to which the information relates."

Reference	Significant Changes and the Rationale for Those Changes
Evaluating the Audit Evidence Obtained	
Paragraph 13	<i>Application Material</i> - Paragraph A83: Board members questioned whether a reference was needed to the risks of material misstatement at the financial statement level given that paragraph A84 indicates that the focus of the auditor's evaluation required by paragraph 13(a) is at the financial statement assertion level. The Task Force had mixed views about whether additional guidance was needed for risks at the financial statement level, noting that the reference to "all audit evidence obtained" in paragraph 13(b) would include audit evidence about financial statement level risks. The Task Force further noted that the auditor's overall conclusion required by paragraph 26 of ISA 330⁵ considers all audit evidence obtained, regardless of whether it appears to corroborate or to contradict the assertions in the financial statements. However, the Task Force was of the view that adding application material to address financial statement level risks may be helpful to close the loop on "all audit evidence obtained." Therefore, the Task Force: - Added wording to describe the requirement in paragraph 5 of ISA 330 regarding overall responses to address assessed risks of material misstatement at the financial statement level, and the requirement in paragraph 6 of ISA 330 to design and perform further audit procedures that are responsive to the assessed risks of material misstatement at the assertion level. - Added wording from paragraph A194 of ISA 315 (Revised 2019) to explain that risks of material misstatement at the financial statement level may also affect individual assertions. The Task Force was of the view that this further helps to link to the guidance in paragraph A84 that the auditor's evaluation in accordance with paragraph 13(a) of Agenda Item 2 is done at the financial statement assertion level. - Paragraph A84: The sentence previously in paragraph A83 regarding the auditor's responsibility to conclude whether sufficient appropriate audit evidence has been obtained was moved to this paragraph as the Task Force was of the view that it better relates to the guidance in paragraph A84. - Paragraph A85: In considering the Board's offline comments, the Task Force noted that the application material did not explain what the auditor is expected to do if the evaluation in accordance with paragraph 13(a) indicates

⁵ ISA 330, *The Auditor's Responses to Assesses Risks*

Reference	Significant Changes and the Rationale for Those Changes
	that the audit evidence obtained does not meet the intended purpose of the audit procedures. The Task Force noted that, in these circumstances, the auditor likely would not be able to conclude that sufficient appropriate audit evidence has been obtained, and therefore the auditor would be required to attempt to obtain further audit evidence as required by paragraph 27 of ISA 330. Therefore, the Task Force revised paragraph A85 to add the reference to paragraph 27 of ISA 330.
Paragraph 14	<i>Application Material</i> Paragraph A89: The Board's offline comments noted that the first sentence of the example was redundant with the wording of the paragraph. Therefore, the Task Force moved the last sentence of the example to the body of the paragraph and deleted the example box.
Appendix	
Paragraph 1	The Task Force revised this paragraph to align with the wording in paragraph 3 of Agenda Item 2-B.
Paragraphs 9 and 10	The Board had various offline comments about whether more could be added to the Appendix regarding analytical procedures, including the use of automated tools and techniques to perform such procedures. The Task Force considered the suggestions and added paragraph 10 to explain the various types of analytical procedures that may be performed in accordance with ISA 315 (Revised 2019) or ISA 520.⁶ The Task Force was of the view that additional examples of the use of automated tools and techniques could be provided as part of non-authoritative support materials when the final standard is issued. The Task Force also was of the view that adding more to the Appendix only about analytical procedures or data analysis would create an imbalance with the material on other types of audit procedures and go beyond the purpose of the Appendix to describe the types of audit procedures at a high level.
Paragraph 13	The Task Force revised the paragraph to indicate that audit evidence obtained through inquiry may need to be supplemented by performing other audit procedures. This change was made in response to Board comments that "corroborate" was inconsistent with paragraph 8 in Agenda Item 2-B, which requires the auditor to design and perform audit procedures in a manner that is not biased towards obtaining audit evidence that may be

⁶ ISA 520, *Analytical Procedures*

Reference	Significant Changes and the Rationale for Those Changes
	corroborative or towards excluding audit evidence that may be contradictory. The Task Force also moved the examples from paragraph 14 as they were deemed to better relate to paragraph 13. The Task Force further noted that moving the examples makes paragraph 14 more clearly focused on whether it may be necessary to obtain written representations from management or those charged with governance to confirm responses to oral inquiries.
Conforming and Consequential Amendments (see Agenda Item 2–D)	
ISA 200	- Paragraph 17: See Agenda Item 2, Section B.1, for an explanation of the deletion of “and report.” - Paragraph A32: The Task Force revised the wording of the proposed conforming amendment to align with the wording in paragraph A13 of Agenda Item 2–B.
ISA 220 (Revised) ⁷	Paragraph A16: The Task Force deleted the reference to determining and applying the concepts of materiality as the Board questioned why such reference was included in the conforming amendment but not in paragraph A2 of Agenda Item 2–B. The Task Force also revised the wording to align with paragraph A16 of Agenda Item 2–B.
ISA 240 ⁸	- Paragraphs 17, 25 and 41: The Task Force changed “information” to “audit evidence” in these paragraphs. In discussions with staff supporting the Fraud Task Force, it was noted that the current direction is to align these paragraphs in proposed ISA 240 (Revised) with paragraph 13 of ISA 315 (Revised 2019), which requires the auditor to design and perform risk assessment procedures to obtain audit evidence that provides an appropriate basis for the identification and assessment of risks of material misstatement and the design of further audit procedures. - Paragraph A23: The Task Force considered changing “information” to “audit evidence” in this paragraph but did not do so after discussion with the Fraud Task Force staff as the view is that the term “information” in this paragraph is intended to mean the broad and generalized use of the term “information.” In addition, the use of

⁷ ISA 220 (Revised), *Quality Management for an Audit of Financial Statements*

⁸ ISA 240, *The Auditor’s Responsibilities Relating to Fraud in an Audit of Financial Statements*

Reference	Significant Changes and the Rationale for Those Changes
	the term is consistent with the current direction of the Fraud Task Force in revising the related requirement in paragraph 24 of proposed ISA 240 (Revised).
ISA 315 (Revised 2019)	Paragraph 13: A conforming amendment was presented to the Board in Agenda Item 3-D in June 2022. However, as indicated in the discussion of the June turnaround document, the conforming amendment is no longer necessary given where the Board landed on paragraph 8 in proposed ISA 500 (Revised). Therefore, the proposed conforming amendment has been deleted in Agenda Item 2-D.
ISA 330	Paragraphs 26, A45 and A48: See Agenda Item 2, Section C.1, for an explanation of the proposed conforming amendment to delete the word “relevant.”
ISA 505⁹	- Paragraph A11: The Task Force revised the wording to be consistent with changes made to proposed ISA 500 (Revised) (e.g., paragraph A37 of Agenda Item 2-B). - Paragraph A24: The Task Force is proposing a change to the subheading above paragraph A24 to align with the wording of the requirement in paragraph 16 of ISA 505. The Task Force is of the view that no conforming changes are needed to paragraph A24 because evaluating the results of external confirmation procedures may include categorizing the results of individual confirmation requests.
ISA 520	Paragraph A12: In response to Board offline comments, the Task Force reinstated the reference to “more reliable” as information obtained from sources outside the entity may be both less susceptible to management bias and more reliable.
ISA 530¹⁰	Paragraph 2: See Agenda Item 2, Section B.1, for an explanation of the deletion of “and report.”
ISA 540 (Revised)¹¹	Paragraph 18: A conforming amendment was presented to the Board in Agenda Item 3-D in June 2022. However, as indicated in the discussion of the June turnaround document, the conforming amendment is no

⁹ ISA 505, *External Confirmations*

¹⁰ ISA 530, *Audit Sampling*

¹¹ ISA 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*

Proposed ISA 500 (Revised) -- Explanation of Significant Changes to Requirements and Application Material
IAASB Main Agenda (September 2022)

Reference	Significant Changes and the Rationale for Those Changes
	longer necessary given where the Board landed on paragraph 8 in proposed ISA 500 (Revised). Therefore, the proposed conforming amendment has been deleted in Agenda Item 2–D .
ISA 805 (Revised) ¹²	Paragraph A6: The Task Force revised the wording in response to Board offline comments that “further audit procedures” has a specific meaning in the ISAs and therefore the reference is unnecessary in this context.

¹² ISA 805 (Revised), *Special Considerations – Audits of Single Financial Statements and Specific Elements, Accounts or Items of a Financial Statement*